

MERIDIAN TECHNOLOGIES PVT. LTD.

Internal Policy Document

Expense Reimbursement Policy

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1. Purpose

Objective

This policy governs the reimbursement of business expenses incurred by employees on behalf of Meridian Technologies. The aim is to ensure expenses are reasonable, properly approved, and well documented.

The policy is designed to enable employees to perform their roles without personal financial detriment while protecting the company from fraud, waste, and abuse.

Guiding Principles

Every claim must satisfy three tests: it must be a legitimate business expense, it must be reasonable in amount, and it must be properly evidenced. Failure on any one test renders the claim ineligible.

Employees and managers are jointly accountable for the integrity of submitted claims.

2. Eligible Expense Categories

Business Expenses

Business travel (covered separately under the Travel Policy), client entertainment, internal team events, training and certification fees, professional memberships, mobile and internet reimbursements for eligible roles, and small office supplies.

Client entertainment must be associated with a genuine business meeting; attendee names and the business purpose must be recorded on the claim.

Communication and Learning

Mobile and internet reimbursement caps are defined in the Communication Allowance Scheme by role band. Claims above the cap require Business Unit Head approval.

Training and certification fees are reimbursable where the certification is aligned with the employee's role or planned career progression and approved in advance.

3. Approval Limits

Up to Rs. 10,000

Expense claims up to Rs. 10,000 require approval from the Reporting Manager only.

Claims within this band typically include team lunches, small office supplies, and minor reimbursements.

Rs. 10,001 to Rs. 50,000

Claims between Rs. 10,001 and Rs. 50,000 require approval from the Reporting Manager and the Business Unit Head.

Approvers are expected to verify the business purpose and the reasonableness of the amount before approving.

Above Rs. 50,000

Claims above Rs. 50,000 require approval from the relevant Vice President. Claims above Rs. 2,00,000 additionally require concurrence from the Finance Controller.

Such high value claims must include a written business justification attached to the claim record.

4. Documentation

Receipts and Invoices

All claims must be supported by original receipts, invoices, or system-generated bills. Hand-written acknowledgements are accepted only for unavoidable expenses below Rs. 500.

Receipts in foreign languages must be accompanied by a brief English translation of the key fields (date, amount, vendor, item).

GST Compliance

Invoices for amounts above Rs. 5,000 must include the company GSTIN to be eligible for input tax credit. Claims without GSTIN above this threshold may be processed at the reduced amount net of tax.

Vendors who consistently fail to issue compliant invoices should be flagged to the Procurement team for review.

5. Submission Timelines

Standard Window

Expense claims must be submitted via the HRMS Finance module within 15 working days of incurring the expense. Claims for expenses older than 60 days will not be processed.

The submission window starts from the date of the expense for self-incurred items or the date of receipt of the invoice for vendor-billed items.

Manager Approval Timelines

Managers are expected to action submitted claims within 5 working days. Claims not approved within 10 working days are auto-escalated.

6. Non-Reimbursable Items

Personal Items

Personal items, alcoholic beverages (unless part of an approved client entertainment), traffic fines, parking tickets, late fees, and any expense flagged in the Travel Policy exclusions.

Spousal or family expenses on a business trip, except in the rare case of a formally approved spouse-accompanied business event.

Statutory Exclusions

Personal taxes, donations made in personal capacity, and any item considered prohibited under applicable anti-bribery laws are not reimbursable irrespective of amount or approver.

7. Foreign Currency Claims

Currency and Conversion

Foreign currency expenses must be claimed in the original currency, supported by credit card statements or forex card transaction records. Conversion to INR is done by Finance using the rate on the date of expense.

Where the credit card statement reflects a converted INR amount, that converted amount is taken as the final claim value and the original currency amount is recorded for audit reference.

Forex Cards

Reconciliation of forex card balances post trip is the employee's responsibility, in coordination with the Travel Desk.

8. Audit and Sample Checks

Routine Audit

Finance conducts a quarterly audit of 5 percent of claims on a sample basis. The Internal Audit team may conduct additional reviews. Audit findings are reported to the Audit Committee.

Sample selection is risk-weighted, with higher value and high frequency claimants having a greater probability of selection.

Cooperation

Employees are expected to cooperate fully with audit queries and to provide supporting documents within 5 working days of request.

9. Recovery of Excess Payments

Recovery Mechanism

Any excess payment identified through audit or self-disclosure must be returned within 30 days. Recovery via salary deduction is exercised only as a last resort with employee acknowledgement.

Self-disclosure of excess payment is encouraged and is treated as a mitigating factor when assessing any disciplinary outcome.

10. Disputes

Resolution Path

Disputes regarding claim rejection or partial approval should be raised in writing within 7 working days of the decision. The Finance Controller is the final authority on expense policy interpretation.

The dispute resolution turnaround is 10 working days from the date all necessary documents are with Finance.